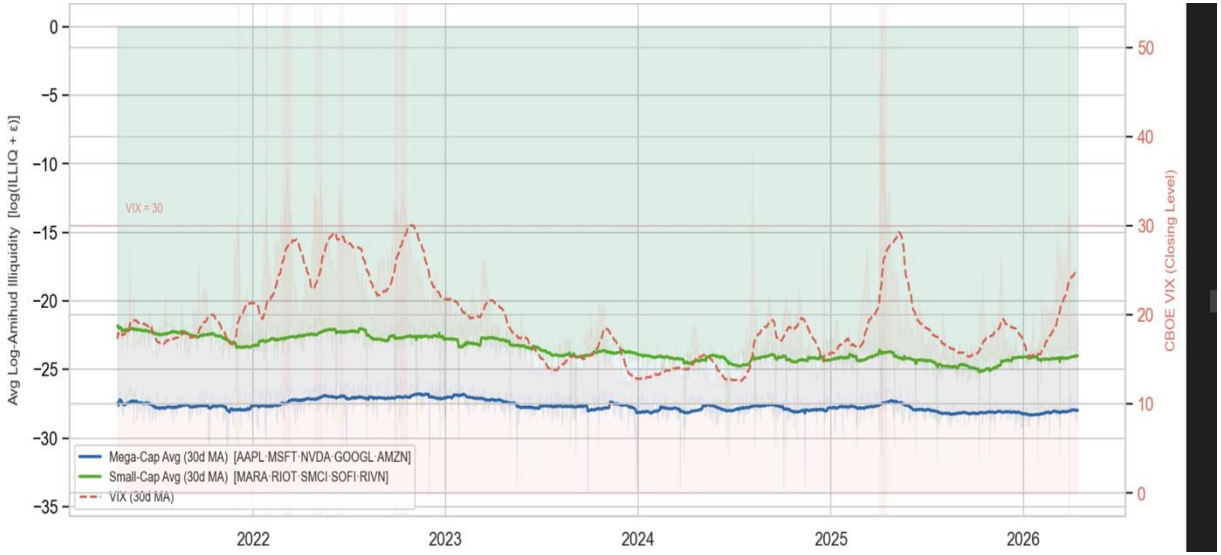
Does VIX Predict Liquidity?

liquidityRadar · Prateek Hanumappanahalli · Georgia Institute of Technology · April 2026



LIQUIDITY GAP

4.11

log-units (small vs mega)

MEGA-CAP RMSE

0.72

VIX coef: 0.054***

SMALL-CAP RMSE

1.54

Idiosyncratic shocks

Key Finding: VIX is statistically significant but economically weak in both universes. Liquidity risk for exchange-listed equities is largely idiosyncratic, not macro-driven.

Data: Yahoo Finance · Tools: Python, pandas, statsmodels · Period: Apr 2021 to Apr 2026